

Responses to ED-315¹
Comments on 'Inherent Risk Factors'
NVivo Report 4A
(FOR REFERENCE)

01. Basel Committee on Banking Supervision

The following improvements are particularly important to us:

- Introduction of new concepts such as inherent risk factors and spectrum of inherent risk;

02. Committee of European Auditing Oversight Body

The ED also introduces the concept of “inherent risk factors”, however this concept is not prominent in the core requirements. We would support an additional requirement for the auditor to identify the inherent risk factors, as opposed to taking the inherent risk factors into account (as mentioned in paragraph 45 b).

04. IAASA

The ED also introduces the concept of inherent risk factors; however this is not prominent in the core requirements. We would support an additional requirement for the auditor to identify the inherent risk factors (as opposed to taking the inherent risk factors into account). Such a requirement would be consistent with paragraph 24 of ISA 240.

05. IAIS

The IAIS is supportive of the IAASB’s initiatives on improving the auditor’s risk assessment procedures. These improvements are particularly important in the following areas:

- Introduction of new concepts of inherent risk factors and spectrum of risks.

06. IFIAR

We believe that overall risk assessment (required in ISA 315) and fraud risk assessment (required in ISA 240) are most effective when performed in an integrated fashion. We recommend the Board carefully consider how the assessments required by ISA 315 and ISA 240 can be best performed in a coordinated manner to avoid either the overall risk assessment or fraud risk assessment becoming separate compliance exercises. Areas to consider include a better integrated evaluation of the fraud risk factors outlined in ISA 240 and the inherent risk factors in ISA 315 (which we noted are discussed in the definitions but are not prominent in the core of the standard in ISA 315).

08. IRBA

- We do support the introduction of the concepts and definitions of inherent risk factors to help identify risks of material misstatement and assess inherent risk. We recommend that the IAASB also enhances and clarifies that there are other inherent risk factors by including the words “..., and other relevant factors” at the end of the inherent risk factors definition in paragraph 16(f) of ED-315. Paragraph A6 of ED-315 lists the other inherent risk factors.

¹ Exposure Draft International Standard on Auditing 315, *Identifying and Assessing Risks of Material Misstatement*

- The guidance in ED-315 explaining how these risk factors are used in the auditor's risk assessment process suffices, but we suggest that the IAASB considers issuing non-authoritative guidance to assist with the implementation of the ISA once it is finalized.

09. UK Financial Reporting Council

As noted in our response to the IAASB's consultation on ED-540, we strongly agree with the introduction of the concepts and definition of 'inherent risk factors'. We believe this material is essential to facilitating a robust risk assessment and audit response.

10. AASB of ICAI

Inherent risk is understood as a risk inherent in class of transactions, account balances or disclosures that could lead to a material misstatement in financial statements. Classifying the inherent risk based on the degree or any magnitude would not lead to more clarity in risk assessment procedures or assessment of inherent risk.

11. Australian A&A Standards Board

- The AUASB supports the concepts and definitions of inherent risk factors and how they are used to identify risks of material misstatement and assess inherent risks. We consider this will result in a more robust risk identification and assessment process, as well as assist auditors focus on the characteristics that impact the susceptibility to misstatement.
- However, some of our stakeholders gave feedback that the identification and assessment of the risk of material misstatement in ED 315 is overly complex because of the combination of different concepts the auditor needs to consider. In particular, they considered there is insufficient clarity in how to apply the concepts and definitions of the inherent risk factors and the current proposed definition of significant risk (which refers to the need to consider the likelihood or magnitude and the spectrum of an inherent risk). Accordingly, their view was that the requirement to explicitly take into account the inherent risk factors should be removed from paragraph 45(b).
- Also as the inherent risk factors in paragraph 16(f) and A6 include the quantitative significance of a class of transactions, account balance or disclosure in relation to performance materiality, this could potentially be interpreted that all material items would have a risk of material misstatement and be identified as significant. We don't consider this to be the intended consequence of these paragraphs.
- Finally, whilst paragraph A245 states that "the auditor is not required to document every inherent risk factor that was taken into account in identifying and assessing the risks of material misstatement at the assertion level", some stakeholders were still concerned that the introduction of the inherent risk factors still creates an unnecessary documentation burden for practitioners.

12. Canadian AASB

In part. We support the concept of the inherent risk factors and agree that they assist in identifying risks of material misstatement and assessing inherent risk. Two areas where we believe clarification is needed are as follows:

- Lack of clarity on how the auditor determines the appropriate list of inherent risk factors against which to identify and assess risks
 - o The definition of inherent risk factors lists five specific factors for the auditor to consider. However, paragraph A6 lists four other factors as “other inherent risk factors that affect susceptibility to misstatement of an assertion about a class of transactions, account balance or disclosure”. The wording used in the introduction to paragraph A6 matches the wording used in the definition of inherent risk factors. Therefore, we believe the auditor is expected to consider the factors in paragraph A6 when assessing inherent risk. The results of the field testing indicated it wasn’t clear that the auditor should consider the factors in paragraph A6. Some participants ignored those factors and believed they only needed to consider the five factors specifically listed in the definition of inherent risk factors.
 - o We are also concerned that the reference to “quantitative significance” and “volume of activity” may give the incorrect impression that larger or more ‘active’ accounts are more susceptible to misstatement. Capital assets are often the largest amount in the financial statements, and operating expenses the accounts with most activities. However, those areas are not the where the risk of misstatement lies in most entities.
 - o We note that paragraph 10 in ISA 570 requires the auditor to consider whether events or conditions exist that may cast significant doubt on the entity's ability to continue as a going concern when performing risk assessment procedures. Some of the examples included in paragraph A3 in ISA 570 may also be viewed as “inherent risk factors”, impacting risk at the assertion level. For example, “significant deterioration in the value of assets used to generate cash flow” may indicate a risk of impairment of the asset. We encourage the IAASB to clarify the relationship between these concepts.
- “Susceptibility to misstatement due to management bias or fraud” not needed as an inherent risk factor
 - o We question whether “susceptibility to misstatement due to management bias or fraud” should be included as one of the factors. We agree with the definition of inherent risk factors - that the auditor would consider the characteristics of events or conditions that affect the susceptibility to misstatement of an assertion about a class of transactions, account balance or disclosure. However, we do not believe fraud is a “characteristic of an event or condition”; fraud is more a symptom of other characteristics such as subjectivity. Once the auditor identifies an inherent risk, they are already required to identify and assess whether those risks were susceptible to fraud and whether it would lead to a fraud risk under the requirement in paragraph 26 of ISA 240, The Auditor’s Responsibilities Relating to Fraud in an Audit of Financial Statements.
 - o We believe fraud should be kept separate under ISA 240, and the inherent risk factor “susceptibility to management bias or fraud” should be removed from ISA 315. If the IAASB believes this inherent risk factor should remain in ISA 315, we ask that the Board clarify its relationship with the requirement in ISA 240.26 to identify and assess the risks of material misstatement due to fraud at the financial statement and assertion levels.

13. CNCC-CSOEC

We support the introduction of the concepts and definitions of “inherent risk factors” to help identify risks of material misstatement and assess inherent risk. The concept of “inherent risk factor” and its definition is

consistent with ISA 540. We consider that ED-315 provides sufficient guidance to explain how these risk factors are used in the auditor's risk assessment process.

14. Hong Kong Institute of CPAs

We are supportive of the introduction of the concepts and definitions of "inherent risk factors". Whilst the application material provides better understanding of the inherent risk factors, the risk assessment process may now require more effort and thought process.

15. IDW

- We support the introduction of the concept and definition of "inherent risk factors" to help identify inherent risk (see our comments above to the main question 6 above; as well note that these are "inherent risk factors", not "material misstatement risk factors") and assess inherent risk because these provide a useful basis for such identification and assessment. However, we are not convinced that "subjectivity" and "uncertainty" are actually different concepts (the need for subjectivity only arises when there is "uncertainty") and that these therefore ought to be merged. Furthermore, in the second sentence of the definition of inherent risk factors, the words "may be" need to be changed to "are" because the statement that such factors are qualitative or quantitative is a statement of fact (they can be one or the other or both, but not anything else). Otherwise, due to the use of the word "may", that sentence would need to be moved to the application material. Our comments above about the use of terminology (risks of material misstatement vs. inherent risk) apply to both the definition and the application material thereto. As a further observation, we would like to suggest that in paragraph A5 in the description of "uncertainty", the terms "best available", "comprehensive" and "to the extent available" be removed from the description of "uncertainty" or be changed, as superlatives ought to be avoided unless needed and the other words are too open-ended.
- We also note that paragraph A6 is written like a definition, rather than application material, which leads to lack of clarity as to whether auditors are required to consider these factors too. Either the word "may" needs to be inserted prior to "include" or the content of A6 needs to be moved to the definition.

16. Japanese Institute of Certified Public Accountants

Comments on (b) (inherent risk factors)

- We disagree with the proposal to include quantitative aspects in the definition of inherent risk factors. The assessment of inherent risks means the assessment of susceptibility to "material misstatement." Therefore, it is not necessary to include the monetary concept in inherent risk factors. Qualitative considerations are relatively important in risk assessment, and we believe that the explicit inclusion of quantitative aspects in inherent risk factors may dilute the importance of qualitative considerations. We understand that paragraph A6 is intended to provide examples including quantitative inherent risk factors. However, they are all qualitative, except for the first bullet. We also consider the first bullet to be inappropriate as it confuses the consideration of materiality.
- We also think that the "susceptibility to misstatement due to management bias" and "susceptibility to misstatement due to fraud" should be separated. Fraud does not arise solely from management bias. In addition, consideration of fraud (including intentional management bias) is extremely important compared to consideration of unintentional management bias.

17. Malaysian Institute of Accountants

We support the introduction of the concepts and definitions of 'inherent risk factors' to help identify risks of material misstatement and inherent risk assessment.

18. Nederlandse Beroepsorganisatie van Accountants

We are not sure whether the new concept of 'inherent risk factors' will be fully understood in practice. We understand that they will have an impact on the risk assessment, but it is not clear how they should be taken into account. We recommend to provide guidance how they affect the process e.g. how these factors should be weighted if there are more factors applicable.

19. National Board of Accountants (Tanzania)

We support the introduction of concepts and definitions of 'inherent risk factors' to help identify risks of material misstatement and assess inherent risk as well there is sufficient guidance to explain how these risk factors are used in the auditor's risk assessment process

20. NZ Auditing and Assurance Standards Board

- The NZAuASB considers emphasizing factors including complexity, subjectivity, change, uncertainty or susceptibility to misstatement due to management bias or fraud is helpful and will drive more consistency as to the types of and reasons for identification of risks. The NZAuASB believes that there is sufficient guidance in ED-315 about the inherent risk factors.
- The NZAuASB further believes that the magnitude of an account balance, class of transactions or disclosure (including potential omissions and understatements) may be another inherent risk factor to be included in ED-315. This simply reflects the fact that a misstatement related to a larger account balance, class of transactions or disclosure is more likely to be a material misstatement. Including size as an inherent risk factor is also likely to help with determining whether a stand-back requirement is required in both ED-315 and ISA 330 (further discussed in the NZAuASB's response to the question 8 below).

21. Altaf Noor Ali Chartered Accountants

Yes.

22. BDO International

- We believe that the concept of inherent risk factors should help when assessing inherent risks. While there seems to be overlap between several of the inherent risk factors, if the auditor is not separately assessing whether each inherent risk factor is relevant, but rather considering the inherent risk factors holistically when assessing inherent risk, then the overlap may not pose a problem.
- However, we are confused by the terminology in paragraph 48 which uses the term 'take into account':
 "... the auditor shall take into account how, and the degree to which:
 (a) identified events and conditions relating to significant classes of transactions, account balances and disclosures are subject to, or affected by, the inherent risk factors..."

- It is unclear what 'take into account' means; we think further clarification would be helpful. In our view, 'take into account' means to keep these inherent risk factors in mind when assessing inherent risk. We believe that the work effort associated with 'take into account' is less than that of 'consider'. Specifically, the auditor is not required to separately determine if each inherent risk factor is relevant to each event or condition that may give rise to an inherent risk. We believe this is supported by paragraph A245 which makes it clear that "the auditor is not required to document every inherent risk factor that was taken into account in identifying and assessing the risks of material misstatement at the assertion level".
- In addition, while the content in Appendix 2 – Events and Conditions That May Indicate Susceptibility to Risks of Material Misstatement is useful, we did not find the structure of the appendix to be particularly helpful to the auditor's thought process. It is currently organized by inherent risk factor, where the example events and conditions provided under each inherent risk factor are those that may be most affected by that inherent risk factor. Although the introductory paragraph in Appendix 2 states that the example events and conditions are also likely to be subject to, or affected by, other inherent risk factors to varying degrees, we think this point could be made clearer by restructuring the appendix. For example, we suggest organizing the appendix to list the example events and conditions, and beside each one, suggest which inherent risk factor may have an effect on that situation. This would clearly demonstrate that a particular event or condition may be affected by multiple inherent risk factors.
- Regarding the impact of inherent risk factors on the final assessment of the inherent risk level on the spectrum of inherent risk, we believe that it would be helpful to include application guidance on how the auditor would do this. Some auditors may believe that if a particular event or condition is affected by multiple inherent risk factors, then the likelihood of material misstatement would be higher, resulting in a higher inherent risk level on the spectrum of inherent risk. Other auditors may not feel that the existence of multiple inherent risk factors for a particular event or condition would necessarily increase the inherent risk level on the spectrum of inherent risk. Any clarification of the IAASB's intent on this topic would be useful guidance to include.

24. Crowe International

We support the introduction of the concepts and definitions of "inherent risk factors". This is a good development that is properly supported in the application guidance.

25. Deloitte

Consideration of fraud

- The consideration of fraud in the risk assessment process is important as it helps auditors identify fraud risk factors that may be present and may lead to the identification of risks of material misstatement related to fraud. As such, DTTL is supportive of the inclusion of the consideration of fraud within ED-315. DTTL believes that this is best achieved through the inclusion of references within the proposed standard to ISA 240, The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements (ISA 240). DTTL is not supportive of the inclusion of management bias or fraud as an inherent risk factor as included in the definition within paragraph 16(f) of ED-315. DTTL believes that inherent risk is evaluated first, followed by a separate evaluation of the risk of fraud in accordance with ISA 240; i.e., inherent risks are first identified, and then evaluated as to whether they are risks of material misstatement due to fraud or due to error.

- For example, consider the valuation of goodwill. When evaluating the inherent risk factors for valuation of goodwill, an auditor may identify one or more risks of material misstatement at the assertion level due to the higher level of subjectivity and complexity that exists in the valuation process. Given the nature of these risks, it is typically more likely that the valuation of goodwill may also be susceptible to misstatement due to management bias or fraud; however, management bias or fraud is **not** the event or condition that gave rise to the risks of material misstatement related to the valuation of goodwill.
- DTTL therefore strongly believes that the board should remove “management bias or fraud” from the list of inherent risk factors. The proposed standard could, however, continue to place the necessary emphasis on fraud-related considerations by making the linkage to ISA 240 even more prominent; i.e., to address potential concerns that fraud related matters are not sufficiently prominent. To the extent that the Board does not revise the proposed standard, to exclude management bias or fraud from the list of inherent risk factors, DTTL believes that additional application guidance needs to be provided on how the other inherent risk factors are meant to interact with the management bias or fraud risk factor and how ISA 315 is intended to interact with ISA 240 (**see responses to questions 6b and 9a in Appendix I**).
- The response in this area should be read in conjunction with DTTL’s comments on Consideration of Fraud in our cover letter. DTTL does not support the inclusion of “management bias or fraud” as an inherent risk factor as it is not “inherent” in classes of transactions, account balances, or disclosures; rather, it is a result of an opportunity created by the presence of complexity, subjectivity, change, or uncertainty as stated within A84 of the proposed standard. As such, DTTL believes that ED-315 should be revised to remove management bias or fraud as an inherent risk factor and instead provide guidance on (1) how the inherent risk factors (complexity, subjectivity, change and uncertainty) can result in the susceptibility of the class of transaction, account balance, or disclosure to management bias or fraud and (2) on the linkage to ISA 240 paragraph 24 to evaluate if a fraud risk factor is present.
- To the extent that the Board does not revise the listing of inherent risk factors to remove “management bias or fraud” as a qualitative risk factor, DTTL believes that additional application guidance needs to be provided on how to evaluate management bias and fraud as part of inherent risk and, if management bias and fraud are considered as part of the inherent risk factors, how inherent risk interplays with fraud risk factors and the identification of significant risk. For example, additional guidance should be provided regarding if fraud is inherent for a class of transaction, account balance, or disclosure that it would need to be classified as a significant risk in accordance with ISA 240 (**see additional comments within comment 9a below**).

26. EY Global Limited

Yes, we support the concepts and definitions of inherent risk factors, as set out in paragraph A5. We believe the use of inherent risk factors creates a framework for identifying inherent and significant risks. However, we do have concerns about how the auditor’s thought-process is expected to be documented, particularly for inherent risks assessed at the lower end of the spectrum of inherent risk. We are also concerned about how formally this framework is expected to be applied and documented, i.e., is the expectation that each factor needs to be documented for each identified inherent risk? We believe that it would be helpful to clarify that formal documentation is not required of how each inherent risk factor has been considered.

27. Grant Thornton International

- We support the introduction of inherent risk factors as a means to assist auditors in making their assessment of the risks of material misstatement. However, we are concerned with the layout of how the factors are separated into specific categories. For example, separate categories of complexity, subjectivity and uncertainty have been created. It is not clear why all three categories would be necessary when considering the following:
 - o The result of complexity and subjectivity is uncertainty.
 - o A class of transactions, account balance or disclosure may have an identified inherent risk factor of subjectivity but it may also be complex, or vice-versa.
 - o The difference between the categories of subjectivity and management bias may not always be clear.
- Our concern is that auditors will inappropriately focus their attention on the categorization of the inherent risk factors themselves instead of the impact that the inherent risk factors have on the assessment of inherent risk.
- The application material focuses heavily on the description or further elaboration of what these inherent risk factors represent. Whilst we agree a more condensed version of this would be necessary to assist auditors in understanding the inherent risk factors, we would also recommend that the application material clarify that the inherent risk factors are a tool to assist auditors in their risk assessment and the categorization of risk factors is neither required to be performed nor documented. This would avoid the impression that the classification of inherent risk factors is an exercise in and of itself. We also note, in paragraph A245 of ED 315, relating to the documentation of the identified risks of material misstatement, the term “higher level” of professional judgment is used. This is not a defined term, and we recommend that this be clarified.
- We also note that ED 315 identifies the susceptibility to misstatement due to management fraud or bias as an inherent risk factor. We are of the view that this “inherent risk factor” is incorrectly characterized in ED 315. It mixes the concept of fraud risk and fraud risk factors and does not correctly characterize the events or conditions that indicate an incentive or pressure to perpetrate fraud, provide an opportunity to commit fraud or indicate attitudes or rationalizations to justify fraudulent activities (the “fraud triangle”). We would recommend that, rather than including the susceptibility to fraud as an inherent risk factor, stronger linkage is included to ISA 240 in relation to the auditor’s assessment of the risk of material misstatement in this regard.
- Conversely, the proposals also introduce a quantitative inherent risk factor for which no further description is provided. It is not clear why the inherent risk factors were expanded from qualitative inherent risk factors to also include quantitative factors, or what would meet the definition of a quantitative inherent risk factor. For example, should this be interpreted to mean that larger accounts are automatically more susceptible to misstatement at the assertion level? What if that account was made up of one single large transaction?

28. KPMG IFRG Limited

- We support the introduction of the concepts and definitions of “inherent risk factors” as we consider these help the auditor to focus on particular areas of susceptibility to risk of material misstatement

and help the auditor to consider “pure” inherent risk, which is aligned to the separation of the assessment of inherent risk and control risk.

- We believe that consideration of these factors provides a clear link to the understanding that the auditor has developed regarding the entity and its environment, and the system of internal control. The factors are very useful in helping the auditor to determine where on the spectrum of inherent risk a particular risk lies.

29. MNP LLP (Canada)

Yes. We support the introduction of the concepts and definitions of “inherent risk factors”. We think these will assist in more accurately assessing the inherent risk of each risk of material misstatement identified.

30. PwC International

- Documentation. We are concerned at the overall documentation expectations resulting from the changes to the various requirements. For example, it remains unclear how the auditor would be expected to document consideration of both inherent risk factors and relevant assertions. We believe this may give rise to a complicated “matrix” risk assessment. While the statement made in paragraph A245 that the auditor does not need to document how every inherent risk factor was taken into account is helpful, we do not believe a single sentence of application material is sufficient to avoid inconsistent interpretation. We recommend the Board provide greater clarity around the expectations for documentation arising from the revised requirements. While limited changes have been made to the actual documentation requirement, it has been stated through the recent webinars that the significant judgements to be documented should be viewed in light of ISA 230. Relying on ISA 230 alone is, in our view, not helpful given the significant changes to requirements that have been made. For example, it is unclear whether the “position on the spectrum” is expected to be a significant judgement – especially where the risk is ultimately not deemed to be a significant risk. The scope of significant judgements is also being debated across a number of the IAASB’s ongoing projects. In light of those ongoing discussions, we believe the Board needs to give further consideration to appropriate application material explaining this term, in the context of judgements made in identifying and assessing risks of material misstatement, in finalizing the ISA.
- Inherent risk factors were introduced as a concept in the recently approved ISA 540 (Revised), and we believe that how this concept was incorporated into that standard will lead to risk assessments that better identify the reasons underlying inherent risk and enable auditors to tailor their responses more appropriately. However, how they have been introduced into the proposed ED is slightly different and we find that it does not work as well as in ISA 540 (Revised).
- For example, we find the definition to be confusing by referring to “characteristics of events or conditions”. What matters is the characteristics inherent to a particular class of transactions, account balance or disclosure; not the characteristics of the events or conditions.
- In making a proper risk assessment, we believe it would be more helpful to distinguish between external factors that influence an entity’s risks from internal company-specific risk factors, rather than combining these under a single construct. External factors, events or conditions are not inherent to an item, but are still relevant factors to take into account. In that regard, we recommend adopting an approach similar to the PCAOB’s articulation of internal and external factors. We believe this would bring greater clarity and be more understandable.

- We are concerned about the inclusion of susceptibility to misstatement due to management bias or fraud as a discrete inherent risk factor in ISA 315 (Revised) given the interaction between ISA 240, The Auditor's Responsibilities Relating to Fraud in an Audit of the Financial Statements (ISA 240) and ISA 315 (Revised) that exists today. Paragraph 25 of ISA 240 already requires the auditor to identify and assess the risks of material misstatement due to fraud at the financial statement level and at the assertion level for classes or transactions, account balances and disclosures. ISA 240 also sets out robust fraud risk factors for the auditor to evaluate. Inclusion as a separate inherent risk factor in ISA 315 (Revised) may lead to confusion between the two standards, or in how the two standards interact. We also note that susceptibility to fraud may also arise as a result of a weak control environment or deficiencies in internal control. Therefore, we do not believe this can be thought of in the context of inherent risk only, in isolation from understanding the entity's system of internal control.
- In removing the risk factor, to maintain a focus on the importance of considering risks arising from fraud, we suggest the standard could clarify the relationship between ISA 240 and ISA 315 (Revised), by referring to the requirements and guidance in ISA 240 as additional application material in paragraph A6 of the Exposure Draft. Alternatively, if considered necessary, essential application material could be incorporated into paragraph 45 of ISA 315 (Revised) (or our equivalent requirement, paragraph 39) to remind auditors that the auditor's risk assessment includes the auditor's assessment of the risk of material misstatement due to fraud in accordance with paragraph 25 of ISA 240.
- We comment further in our response to question 9 on the proposed conforming amendments to ISA 240.

31. RSM International

Question 6 (b)

- We support the concept of inherent risk factors which will assist the identification and assessment of risk at the assertion level.
- Fraud is an inherent risk factor which needs to be considered, however, we believe that the IAASB should re-consider whether including the susceptibility to fraud as an inherent risk factor is unnecessary duplication with ISA 240.

32. Office of the Auditor-General of Alberta

- We agree, however we note that the list is not complete. For example, the risk of the asset to misappropriation or theft is a common inherent risk factor in textbooks.
- We note that the risk "susceptibility to misstatement due to management bias or fraud" is too narrow and should state "susceptibility due to misstatement due to management, those charged with governance, and/or employee bias or fraud."
- We suggest paragraph 18(a) be amended to include inquiries to those charged with governance.
- We note that risks due to climate change should be included as either inherent risk factors in general or in paragraph A59 as examples of business risks.

33. Office of the Auditor-General of Canada

Yes, we are supportive of the concepts and definitions provided for inherent risk factors. The guidance as to their use is sufficient.

35. US Government Accountability Office

We support the introduction of the concepts and definitions of inherent risk factors to help identify risks of material misstatement and assess inherent risk. We believe that there is sufficient guidance to explain how these risk factors are used in the auditor's risk assessment process.

36. Swedish National Audit Office

Yes, in general we agree with the **introduction of general inherent risk factors**. We do struggle with the statement that the inherent risk factors may be quantitative or qualitative (paragraph A5). Paragraph A5 lists all the inherent factors considered to be "qualitative". In our opinion there is no need to refer to inherent risk factors as being quantitative or qualitative, we simply have different factors that drives the inherent risk. We suggest removing the reference to qualitative and quantitative and instead use a more neutral approach.

38. ACCA-CAANZ (Global)

Although the concepts and definitions of inherent risk factors have the potential to enhance the identification of risks of material misstatements in theory, we are unclear on how these are intended to be applied in practice. While there is some useful guidance in the Application and Explanatory Material, we would expect to see greater reference to inherent risk factors in the requirements, for example how consideration of inherent risk factors could complement the auditor's understanding of the entity and its environment in accordance with paragraph 23(a).

39. Accountancy Europe

The concept of 'inherent risk factor' and its definition is consistent with ISA 540. ED-315 provides sufficient guidance to explain how these risk factors are used in the auditor's risk assessment process.

40. AICPA (USA)

Notwithstanding our support for the changes, we have comments as follows:

- Paragraph 16(f) — Susceptibility to fraud is included as an inherent factor. We do not believe that susceptibility to fraud, intrinsically, is **inherent** in a characteristic of events or conditions. ISA 240, The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements. defines fraud, as follows:
 - o An intentional act by one or more individuals among management, those charged with governance, employees, or third parties, involving the use of deception that results in a misstatement in financial statements that are the subject of an audit.
- Fraud is characterized by the following factors defined in ISA 240:
 - o Events or conditions that indicate an incentive or pressure to perpetrate fraud, provide an opportunity to commit fraud, or indicate attitudes or rationalizations to justify a fraudulent action.

- Given the definition of fraud and the related risk factors, we do not believe that susceptibility to fraud should be characterized as an inherent risk factor. If the IAASB determines it is important to specifically cite inherent risk factors related to fraud, we recommend the standard focus on incentives or pressures to commit fraud, accompanied by the inclusion of references to ISA 240 as appropriate.

41. Center for Audit Quality

- We believe the use of the inherent risk factors could assist auditors in making more robust risk assessments and designing appropriate responses to the assessed risks. However, we are concerned about the inclusion of susceptibility to misstatement due to management bias or fraud as a discrete inherent risk factor in the Exposure Draft given the interaction between ISA 240, The Auditor's Responsibilities Relating to Fraud in an Audit of the Financial Statements (ISA 240) and extant ISA 315 (Revised). Paragraph 25 of ISA 240 already requires the auditor to identify and assess the risks of material misstatement due to fraud at the financial statement level and at the assertion level for classes of transactions, account balances and disclosures. ISA 240 also sets out robust fraud risk factors for the auditor to evaluate. Inclusion as a separate inherent risk factor in the final standard will lead to confusion between the two standards or in how the two standards interact. We also note that susceptibility to fraud may also arise as a result of a weak control environment or deficiencies in internal control. Therefore, we do not believe this can be thought of in the context of inherent risk only, in isolation from understanding the entity's system of internal control. We suggest the relationship between ISA 240 and ISA 315 (Revised) be clarified by making reference to the requirements and guidance in ISA 240 as additional application material in paragraph A6 of the Exposure Draft. If considered necessary, essential explanatory material could be incorporated into paragraph 45 of ISA 315 (Revised) to remind auditors that the auditor's risk assessment includes the auditor's assessment of the risk of material misstatement due to fraud in accordance with paragraph 25 of ISA 240.
- We agree with the position set out in paragraph A245, which explains the auditor is not required to document every inherent risk factor that was taken into account in identifying and assessing the risks of material misstatement at the assertion level. However, it may not be sufficiently clear what is expected in terms of the requirement in paragraph 54(d) for the auditor to document the rationale for the significant judgments made in identifying and assessing the risks of material misstatement.

42. Chartered Institute of Public Finance & Accountancy

CIPFA supports the concept of inherent risk factors

43. CPA Australia

Yes, the inherent risk factors are helpful to focus the risk assessment on matters which will cause higher risk.

44. EFAA

We are less supportive of much of the new concepts introduced which seem over engineered and confusing for example: inherent risk factors which overlap considerably; the definitions of relevant assertions and significant classes of transactions, account balances and disclosures; and a new level of risk assessment which involves consideration of 'potential' risks before actual risks are considered.

45. Finnish Association of Authorised Public Accountants

Yes, the new concepts are useful and the guidance is sufficient.

46. Fed of Prof Council of Economic Sciences (Argentina)

- The concepts and definitions of "inherent risk factors" are very useful for the auditor to identify and evaluate the inherent risks of material errors. However, in practice, there are still differences in the assessment of inherent risks on the part of professionals, which arise from the fact of the rigor of applied thinking. At one extreme, using the definition of "reasonable possibility" of material error, substantially all assertions in the accounts related to a set of financial statements, present one or more of the inherent risk factors included in paragraphs A.5 and A .6, if no other matter is taken into account, and this leads to the auditor having to expand on documenting an identification and risk assessment analysis that may result in a disproportionate effort with respect to the final outcome of the residual risk assessment of audit, with which it will plan the obtaining of valid and sufficient evidence. That is, an oversized risk analysis is documented, when the auditor has information from past experience in the client or in the industry that the actual risks are different from the theoretical inherent risks (those that arise without taking into account other available elements as the experience in the client or in the industry). As an example, an assertion of the existence of an account, without taking into account any other factor (including minimum internal controls to capture transactions), would always lead the auditor to conclude that it has a "reasonable possibility" of material error.
- Therefore, we are pleased to see that the "inherent risk factors" have been separated into two paragraphs, highlighting those included in paragraph A.5 as relevant factors that should be considered when defining whether there is a "reasonable possibility" of material error; while in paragraph A6 other factors to be taken into account are mentioned. The standard should place more emphasis on highlighting that the mere fact of the presence of a factor in paragraph A.6 should not result in the direct conclusion that there is a "reasonable possibility" of material error (i.e. the mere fact that there is a high transaction volume of petty-cash refunding transactions, should not be a decisive factor in concluding that there is a "reasonable possibility" of material error). That is, it should be emphasized that the auditor must take into account the combination of the inherent risk factors to reach a conclusion that there is "a reasonable possibility" of material error, and that only the factors in paragraph A5 could lead individually to consider that an assertion has a "reasonable possibility" of material error.

47. FSR Danske Revisorer (Denmark)

The concept of 'inherent risk factor' and its definition is consistent with ISA 540. ED-315 provides sufficient guidance to explain how these risk factors are used in the auditor's risk assessment process.

48. Interamerican accounting association (South America)

Yes, we support. They are very illustrative and will help a lot in the identification of the risks of material error in the evaluation of the inherent risk. We understand that the orientation is sufficient for its purpose.

49. Instituto dos Auditores Independentes do Brazil

We support the concepts and definitions of IRFs as it is already required in ISA 540 (Revised). However, there might have an overlap in definitions of IRFs and, if a separate consideration of each IRF is required, we struggle to be able to separately evaluate the impact of each one. Also, we understand that management

bias and fraud should not be considered IRFs as they are a 'result' of the analysis of the other IRFs: complexity, subjectivity, change and uncertainty to each significant class of transactions, account balance and disclosure (SCOTABD).

51. Institute of Chartered Accountants in England and Wales

- While we broadly support the concept of inherent risk factors which will structure thinking when identifying and assessing risk at the assertion level, we are concerned about the level of overlap between the factors listed, and the inclusion of susceptibility to fraud among them. Furthermore, we do not believe that they will change behavior significantly or, of themselves, result in significantly enhanced risk assessments. Auditor experience and audit firm culture are much more likely to have an impact on the quality of risk assessment. The proposals might usefully emphasize the fact that inherent risk factors are flexible, and are a way to help auditors identify and assess the risk. They should not become an exercise in putting the risks into the right categories.
- We believe IAASB should re-consider the need for susceptibility to fraud as an inherent risk factor for three reasons: overlap with ISA 240 and the likelihood of inconsistency as a result, the need to reduce the level of over-engineering generally, and the risk of increasing the expectation gap. We believe that this factor is most likely to be questioned by respondents and that IAASB should therefore give serious consideration as to the need for it and, in the light of the observations above, whether it will in fact change behaviour.
- We also believe that more clarity is needed on the 'quantitative' aspect of risk factors. The 'IRFs' were originally 'QUIRFs' and the rationale for the Board's move from 'qualitative' to 'qualitative and quantitative' risk factors is not altogether clear.

52. Institute of Chartered Accountants (Ghana)

Yes, we do support the introduction of the concepts and definitions of inherent risk factors. This is to help identify and highlight the intended risks of material misstatement during audit engagement and also there is sufficient guidance to explain how these risks factors are to be used in the auditor's risk assessment process. They provide more focused guidance on understanding inherent risk factors. The guidance taken into consideration includes the spectrum of inherent risk and really supports the risk assessment understanding process.

53. Institute of Chartered Accountants of Pakistan

ED 315 contains a number of proposals in public interest including definitions of 'inherent risk factors'. This concept is already given in ISA 540 (revised) and consistent with the way it is described in ED 315. We agree that the concept of 'inherent risk factors' intends to assist with the identification and assessment of the susceptibility of assertions to misstatement, a link has been made to the auditor's consideration of susceptibility of misstatement due to fraud. Appendix 2 of proposed ISA 315 is also helpful in identifying events and conditions that may indicate susceptibility of risk material misstatement.

54. Institute of Chartered Accountants of Scotland

The concept of 'inherent risk factor' and its definition is consistent with ISA 540. ED-315 provides sufficient guidance to explain how these risk factors are used in the auditor's risk assessment process.

55. Institute of Chartered Accountants (Zimbabwe)

Yes. The introduction of the concepts and definitions of inherent risk are helpful and provide necessary guidance, given that the same concepts are to be applied to both private and public sector entities.

57. Institute of Public Accountants

The IPA believes further guidance is required on inherent risk explicit recognition of the factors that contribute to a "motive to misstate".

59. Malaysian Institute of CPAs

Yes, MICPA supports the introduction of the concepts and definitions of "inherent risk factors" to help identify risks of material misstatement and assess inherent risk as that would align with ISA 540 (Revised). The guidance to explain how these risk factors are used in the auditor's risk assessment process is reasonably comprehensive.

60. New York state society of CPAs

We support the introduction of inherent risk factors to help identify risks of material misstatement and an auditors' assessment of inherent risk. However, the exposure draft should provide additional examples and interpretive guidance for the practitioner. The inclusion of examples will lead to less confusion, ambiguity and misinterpretation of the final standard.

61. PAFA

- PAFA agrees with the introduction of concepts and definitions of "inherent risk factors" to help identify risks of material misstatement and assess inherent risk and believes that sufficient guidance has been provided to explain these risk factors and how they are used by the auditor in the risk assessment process.
- There is, however, scope to further refine the definition of inherent risk factors so as to include the notion that the inherent risk factors may not necessarily be restricted to only the five main factors that have been identified; i.e. it may also include other risk factors such as those mentioned in paragraph A6. The following wording is suggested:
 - o Inherent risk factors – Characteristics of events or conditions that affect susceptibility to misstatement of an assertion about a class of transactions, account balance or disclosure, before consideration of controls. Such factors may be qualitative or quantitative, and include complexity, subjectivity, change, uncertainty, or susceptibility to misstatement due to management bias or fraud and other risk factors as may be applicable in the circumstances.

62. SAICA

- SAICA believes that the definition of inherent risk factors should be further refined to include the notion that the inherent risk factors may not necessarily be restricted to only the five main factors that

have been identified; i.e. it may also include other risk factors such as those mentioned in paragraph A6. The following wording is suggested:

- Inherent risk factors – Characteristics of events or conditions that affect susceptibility to misstatement of an assertion about a class of transactions, account balance or disclosure, before consideration of controls. Such factors may be qualitative or quantitative, and include complexity, subjectivity, change, uncertainty, ~~or~~ susceptibility to misstatement due to management bias or fraud and other risk factors as may be applicable in the circumstances.
- SAICA agrees that the auditor should take into account the degree to which inherent risk factors affect a significant class of transactions, account balance or disclosure (SCOTABD), when assessing the inherent risk of a SCOTABD at the assertion level (i.e. for the individual relevant assertions). We found that the following explanation resonated with our members who attended SAICA ED-ISA 315 discussion session, namely that the inherent risk factors represent the lens through which the auditor observes and evaluates the information that is obtained in relation to the entity and its environment, the applicable financial reporting framework and the entity's system of internal control, thereby providing the context in terms of which the auditor considers the likelihood and magnitude of material misstatement. Even though 'likelihood' and 'magnitude' are well known concepts, these concepts should be described in the application material, for example by promoting a more common understanding that likelihood relates to the chance or frequency of an occurrence and that magnitude relates to the impact or severity or distribution of an occurrence. This could be illustrated by providing an example in relation to an assertion/(s) about a SCOTABD.
- Another matter that should be clarified is the reference to "at assertion level" in the ISA. It is not clear whether, or in which instances this refers to each assertion for a COTABD or only to the relevant assertions for a SCOTABD. SAICA has the following view on this based on the wording in the extant ISA 315: The wording in the extant ISA seems to indicate that risks should be assessed for each assertion because if a specific assertion is not considered it will result in the auditor not considering all possible (material) misstatements that could relate to a COTABD. Applying this to ED-ISA 315, taking into account that the ED introduces the concepts of relevant assertions and SCOTABD, up to and including the point where the auditor determines SCOTABD the auditor is alert to how relevant information that informs his/her understanding as required by ED-ISA 315 may implicate or be related to any / all assertions about all COTABD. Once the auditor has determined the SCOTABD and their relevant assertions, "at assertion level" only relates to these (for example, inherent risk and control risk will only be assessed in relation to the relevant assertions for each SCOTABD).
- SAICA believes that the wording in paragraph 48 should be further refined in addition to the comments made in the previous paragraph. I.e. to more clearly indicate that inherent risk is only assessed for risks of material misstatement with respect to relevant assertions.

63. SMPC

- We have concerns about the introduction of the 'inherent risk factors' to help identify risks of material misstatement and assess inherent risk because of the degree of overlap between them and the associated documentation requirements. We believe these may be better expressed in application material and in developing implementation support, it would be helpful to explain the nature and extent of the required documentation, including 'implied' controls.

- In order to assist practical application, it would be helpful to clarify under 'Uncertainty' in A5 that "best available" is relative to the audit i.e. the best available to the auditor.

65. Chartered Accountants Academy (Zimbabwe)

The introduction of the concepts and definitions of inherent risk are helpful and provide necessary guidance, given that the same concepts are to be applied to both private and public sector entities. The factors clearly explain how these risk factors are used in risk assessment, for example, complexity and how it affects an assertion's susceptibility to misstatement, leading to more focused identification.

66. FocusRoi Inc.

We support the concepts and definitions of 'inherent risk factors'

67. Lynessa Dias

The introduction of the concepts and definitions of 'inherent risk factors' brings clarity to a significant aspect of underlying risk in a business process. The assertions described as relevant are generally reflective of the fundamental qualitative characteristics of financial information applied by accounting frameworks.

72. American Accounting Association

We support the concepts and definitions of inherent risk factors, noting that the factors are consistent with those described in Miller et al. (2012). Research has demonstrated that auditors tend to assess inherent risk similarly for all assertions related to an account (Waller 1993; Elder and Allen 2003), implying that auditors tend to consider inherent risk at the account balance level, rather than the assertion level. We believe it would be helpful to provide examples of how qualitative inherent risk factors map to relevant financial statement assertions to promote an assessment of inherent risk at the assertion level. For example, paragraph A5 includes a specific example of how complexity impacts supplier rebates. It would be helpful to add a sentence describing that complexity in the calculation of supplier rebates impacts the completeness assertion of an entity's supplier rebate liability account. It would also be helpful to include additional specific examples of how the other listed qualitative inherent risk factors (i.e., subjectivity, change, uncertainty, susceptibility to bias or fraud) impact specific assertions. As an example, the subjectivity of the estimation of uncollectible customer balances impacts the valuation assertion of an entity's allowance for doubtful accounts.